

Adani's Solid Foundation

Group firm Ambuja Cements' buyout of Penna Cement will strengthen its position in the South and give it an opportunity to leverage the sea advantage

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18 | **► FOR THE ADANI** Group, cement is a core business today. In just under three years, the conglomerate has grown its capacity from almost nothing to a total of 75 million tonnes per annum (mtpa), positioning itself as the second-largest player in the industry, trailing only UltraTech Cement's 140 mtpa capacity.

CEMENTING GROWTH
The Adani Group aims to achieve cement production capacity of 140 million tonnes per annum by 2028

It is worth noting that a significant portion of the growth has been inorganic, starting with the big-ticket \$10.5-billion deal to acquire Ambuja Cements and ACC. The latest one is the buyout of Hyderabad-based Penna Cement Industries for ₹10,420 crore. Currently, Penna Cement has a total capacity of 10 mtpa and another 4 mtpa is under construction. Once the deal is closed, the total capacity of the Adani Group's cement business will expand to 85 mtpa. The group aims to achieve a production capacity of 140 mtpa by 2028, while market leader UltraTech Cement has set its sights on reaching a capacity of 200 mtpa.

From a strategic point of view, the acquisition of Penna Cement (through Ambuja Cements) will strengthen Adani's position in south India, which has historically witnessed low capacity utilisation. Of Penna Cement's existing capacity, 90% comes from Andhra Pradesh

